

operating with the least possible number of pilots, sending pilots for training would mean cancelling scheduled flights, which none can afford to do,” says Bhargava. Airlines in India follow the low-cost model, which restricts maintaining back-up crew and aircraft, a delay on any route or a pilot being absent could potentially lead to a flight being cancelled.

Business Today got in touch with several airlines but they declined to be a part of the story.

THE LOW-COST MODEL

Airlines may have embraced the low-cost, high-efficiency model, but despite that, leading players in the space continue to operate in the red. For instance, Air India, which was taken over from the government by the Tata group in January 2022. In FY21, the last full year for the airline—that has a fleet of some 120 aircraft—under the government’s control, Air India’s net loss after extraordinary items stood at ₹6,564 crore. A year later, it expanded by 46% to ₹9,557 crore. In FY23, the figure went up 19% year-on-year, to ₹11,388 crore. “The cost structure that an airline like Air India is operating under is a major roadblock for them to turn any profits at the net level. The fixed costs are quite high and it cannot cut that down, irrespective of demand or sale of seats. That is a key reason most airlines are in losses for years,” says Rajat Sharma, Founder CEO of Sana Securities.

Vistara has never delivered profits at the net level since its inception in financial year 2014-15. From ₹199 crore in FY15, its net losses snowballed to ₹1,397 crore in FY23. Then there’s SpiceJet, that had a 5.4% share of passenger traffic in the first three months of 2024. Despite multiple attempts to



DARK SKIES



The country’s civil aviation sector is in dire straits, with major airlines struggling with flight cancellations and delays



Four of the Top 5 players are in the red as they continue to bleed thousands of crores in losses annually; IndiGo has turned profitable in 9MFY24



Lack of adequate infrastructure, pilots, and back-up aircraft remain key challenges, with no green shoots in sight



By 2030, the government aims to have 200 airports, making air travel accessible to passengers in smaller towns



High fuel costs, low-cost model of operations, and high price sensitivity, however, threaten airlines’ health

revive the Ajay Singh-led airline, SpiceJet continues to be in the red. The airline, which has a fleet of nearly 40 aircraft, has continuously posted net losses since FY19; in fact, since FY14, SpiceJet managed to post net profit only thrice.

The only profitable airline is IndiGo, which leads the market with a share of 60.5% of passenger traffic.

IndiGo, which has a fleet of more than 350 aircraft, has turned profitable in 9MFY24, after remaining in the red for the previous four years. In the October-December quarter, it saw its net profits surge a whopping 111% YoY to ₹2,998 crore, while net sales grew 30% YoY to ₹19,452 crore. The “positive results over the last five consecutive quarters